In 1995, Tata Sons approved the issue of 29,937 ordinary shares. In 1995, each share was valued at Rs 1.25 lakh. The shares were, however, issued at a discounted price. The shares of Rs 1,000 each were issued at a cash premium of Rs 99,000 in the ratio of 1:5, aggregating to Rs 299.37 crore. However, as Soonawala recalls, the Trusts, which own the majority shares of Tata Sons, did not have the funds to buy the rights offering, as the lion's share of their income was spent on philanthropic endeavours. In addition, according to amendments made in the Income Tax Act in 1983, if charities invested in private companies, they would lose their right to income tax exemption. The Trusts therefore renounced their rights, as Ratan had planned. This benefited the Trusts too, as they received a payment of Rs 25,000 for each share they renounced.

The renounced shares were bought by the large Tata companies. Together, nine Tata companies subscribed to an aggregate of 12.32 per cent of the total shares of Tata Sons, or a total of 22,855 shares. Kalimati Investment Company Ltd (later merged with TISCO) and TELCO were the largest investors, picking up 3.06 per cent of the shares, each buying 5,500 shares at a cost of Rs 55 crore each. They were followed by Tata Chemicals, which bought 2.53 per cent or 4,550 shares at a cost of Rs 45.5 crore. All nine Tata companies together bought shares worth Rs 228.55 crore. It fulfilled Ratan's objective of retaining all the shares within the group itself, explains Soonawala. While allowing Tata companies to buy shares, Ratan imposed a ceiling on the number of shares each company could buy to hedge any risk to the holding company, in case it lost an enterprise in a hostile takeover.

The rights issue was so 'critical for what the Tata Group is today, for if it were not for this issue, Tata Steel, Tata Motors and Tata Power' would not have been with the Tatas, remarks Subedar. It enabled Tata Sons to increase its stake in its companies by purchasing the shares from the market, while leaving much-needed resources in its hands for the development and diversification of its promoted enterprises. Some share purchases were also made directly from the market from the funds that were raised through surplus generated by TCS.

The increase in stakes through market purchases was carefully calibrated to prevent the triggering of SEBI (Substantial Acquisition of Shares and Takeovers) Regulations 1994, that would have made it mandatory for the acquirer to make a public offer to buy 20 per cent shares of the company